

STATE OF NEW YORK

8495--A

2025-2026 Regular Sessions

IN ASSEMBLY

May 20, 2025

Introduced by M. of A. SHRESTHA -- read once and referred to the Committee on Ways and Means -- recommitted to the Committee on Ways and Means in accordance with Assembly Rule 3, sec. 2 -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the tax law, in relation to authorizing the town of Rhinebeck to establish hotel and motel taxes; and providing for the repeal of such provisions upon expiration thereof

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The tax law is amended by adding a new section 1202-ll to
2 read as follows:

3 § 1202-ll. Occupancy tax in the town of Rhinebeck. (1) Notwithstanding
4 any other provision of law to the contrary, the town of Rhinebeck, in
5 the county of Dutchess, is hereby authorized and empowered to adopt and
6 amend local laws imposing in such town a tax, in addition to any other
7 tax authorized and imposed pursuant to this article, such as the legis-
8 lature has or would have the power and authority to impose upon persons
9 occupying any room for hire in any hotel. For the purposes of this
10 section, the term "hotel" shall mean a building or portion of it which
11 is regularly used and kept open as such for the lodging of guests. The
12 term "hotel" includes an apartment hotel, a motel or a boarding house,
13 whether or not meals are served. The rate of such tax shall not exceed
14 three percent of the per diem rental rate for each room whether such
15 room is rented on a daily or longer basis.

16 (2) Such taxes may be collected and administered by the chief fiscal
17 officer of the town of Rhinebeck by such means and in such manner as
18 other taxes which are now collected and administered by such officer or
19 as otherwise may be provided by such local laws.

20 (3) Such local laws may provide that any taxes imposed shall be paid
21 by the person liable therefor to the owner of the room for hire in the

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 tourist home, inn, club, hotel, motel or other similar place of public
2 accommodation occupied or to the person entitled to be paid the rent or
3 charge for the room for hire in the tourist home, inn, club, hotel,
4 motel or other similar place of public accommodation occupied for and on
5 account of the town of Rhinebeck imposing the tax and that such owner or
6 person entitled to be paid the rent or charge shall be liable for the
7 collection and payment of the tax; and that such owner or person enti-
8 tled to be paid the rent or charge shall have the same right in respect
9 to collecting the tax from the person occupying the room for hire in the
10 tourist home, inn, club, hotel, motel or other similar place of public
11 accommodation, or in respect to nonpayment of the tax by the person
12 occupying the room for hire in the tourist home, inn, club, hotel, motel
13 or similar place of public accommodation, as if the taxes were a part of
14 the rent or charge and payable at the same time as the rent or charge;
15 provided, however, that the chief fiscal officer of the town, specified
16 in such local laws, shall be joined as a party in any action or proceed-
17 ing brought to collect the tax by the owner or by the person entitled to
18 be paid the rent or charge.

19 (4) Such local laws may provide for the filing of returns and the
20 payment of the taxes on a monthly basis or on the basis of any longer or
21 shorter period of time.

22 (5) This section shall not authorize the imposition of such tax upon
23 any of the following:

24 a. The state of New York, or any public corporation (including a
25 public corporation created pursuant to agreement or compact with another
26 state or the dominion of Canada), improvement district or other poli-
27 tical subdivision of the state;

28 b. The United States of America, insofar as it is immune from taxa-
29 tion; or

30 c. Any corporation or association, or trust, or community chest, fund
31 or foundation organized and operated exclusively for religious, charita-
32 ble or educational purposes, or for the prevention of cruelty to chil-
33 dren or animals, and no part of the net earnings of which inures to the
34 benefit of any private shareholder or individual and no substantial part
35 of the activities of which is carrying on propaganda, or otherwise
36 attempting to influence legislation; provided, however, that nothing in
37 this paragraph shall include an organization operated for the primary
38 purpose of carrying on a trade or business for profit, whether or not
39 all of its profits are payable to one or more organizations described in
40 this paragraph.

41 d. A permanent resident of a hotel or motel. For the purposes of this
42 section, the term "permanent resident" shall mean a natural person occu-
43 pying any room or rooms in a hotel or motel for at least thirty consec-
44 utive days.

45 (6) Any final determination of the amount of any tax payable hereunder
46 shall be reviewable for error, illegality or unconstitutionality or any
47 other reason whatsoever by a proceeding under article seventy-eight of
48 the civil practice law and rules if application therefor is made to the
49 supreme court within thirty days after the giving of notice of such
50 final determination, provided, however, that any such proceeding under
51 article seventy-eight of the civil practice law and rules shall not be
52 instituted unless:

53 a. The amount of any tax sought to be reviewed, with such interest and
54 penalties thereon as may be provided for by local laws or regulations
55 shall be first deposited and there shall be filed an undertaking, issued
56 by a surety company authorized to transact business in this state and

1 approved by the superintendent of financial services as to solvency and
2 responsibility, in such amount as a justice of the supreme court shall
3 approve to the effect that if such proceeding be dismissed or the tax
4 confirmed the petitioner will pay all costs and charges which may accrue
5 in the prosecution of such proceeding; or

6 b. At the option of the petitioner, such undertaking may be in a sum
7 sufficient to cover the taxes, interests and penalties stated in such
8 determination plus the costs and charges which may accrue against it in
9 the prosecution of the proceeding, in which event the petitioner shall
10 not be required to pay such taxes, interest or penalties as a condition
11 precedent to the application.

12 (7) Where any taxes imposed hereunder shall have been erroneously,
13 illegally or unconstitutionally collected and application for the refund
14 therefor duly made to the proper fiscal officer or officers, and such
15 officer or officers shall have made a determination denying such refund,
16 such determination shall be reviewable by a proceeding under article
17 seventy-eight of the civil practice law and rules, provided, however,
18 that such proceeding is instituted within thirty days after the giving
19 of the notice of such denial, that a final determination of tax due was
20 not previously made, and that an undertaking is filed with the proper
21 fiscal officer or officers in such amount and with such sureties as a
22 justice of the supreme court shall approve to the effect that if such
23 proceeding be dismissed or the taxes confirmed, the petitioner will pay
24 all costs and charges which may accrue in the prosecution of such
25 proceeding.

26 (8) Except in the case of a willfully false or fraudulent return with
27 intent to evade the tax, no assessment of additional tax shall be made
28 after the expiration of more than three years from the date of the
29 filing of a return, provided, however, that where no return has been
30 filed as provided by law the tax may be assessed at any time.

31 (9) All revenues resulting from the imposition of the tax under the
32 local laws shall be paid into the treasury of the town of Rhinebeck and
33 shall be credited to and deposited in the general fund of the town. Such
34 revenues may be used for any lawful purpose.

35 (10) Each enactment of such a local law may provide for the imposition
36 of a hotel or motel tax for a period of time no longer than two years
37 from the date of its enactment. Nothing in this section shall prohibit
38 the adoption and enactment of local laws, pursuant to the provisions of
39 this section, upon the expiration of any other local law adopted pursu-
40 ant to this section.

41 (11) If any provision of this section or the application thereof to
42 any person or circumstance shall be held invalid, the remainder of this
43 section and the application of such provision to other persons or
44 circumstances shall not be affected thereby.

45 § 2. This act shall take effect immediately and shall expire and be
46 deemed repealed December 31, 2029.